

CAVENDISH INSURANCE GROUP PLC

RISK & COMPLIANCE · PRICING AND UNDERWRITING CONTROLS

AI and Conduct Control Requirements

Automated risk assessment, pricing and underwriting across life, health and motor portfolios. Derived control requirements and acceptance criteria for delivery and test teams.

ILLUSTRATIVE EXAMPLE — NOT AN OFFICIAL TEXT

This document is an **authored illustrative example**, produced to demonstrate automated requirement generation and test design. Cavendish Insurance Group plc is a fictional firm. The document control block, ownership, reference numbers and revision history are invented.

It is **not** a copy, extract or reproduction of any official regulatory text, and it is not legal or compliance advice. Where a regulation, article or rule is cited, the citation is given so that the reader can consult the official source directly. Regulatory positions stated here were compiled on 25 September 2026 and are not maintained.

Do not rely on this document for any compliance purpose.

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Technical owner	Principal Engineer, Pricing Platform
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Applies to	Quotation, underwriting decision, pricing and renewal services for the Life, Health and Motor portfolios; the retail customer journey from quote request to policy issue
Regulatory basis compiled	25 September 2026

1. Purpose and scope

This document translates two regulatory regimes into control requirements that a delivery team can build against and a test team can assert. It exists because both regimes place obligations on the *behaviour of the system*, not only on the documentation that surrounds it.

The two regimes are treated separately because they reach different parts of the business. The EU AI Act reaches automated risk assessment and pricing in life and health insurance, and applies to the Group's EU-established entities and to systems whose output is used in the Union. The FCA Consumer Duty reaches every retail product the Group distributes in the United Kingdom, including motor, and is in force now.

In scope: the quotation engine, the underwriting decision service, the rating and pricing service, the renewal pricing service, the customer-facing quote and buy journey, and the operational records those services produce.

Out of scope: commercial lines, reinsurance, the claims platform (covered by CIG-CR-2026-021), and the Group's own employment decisions.

2. Regulatory basis

Each instrument below is named with its status as compiled on 25 September 2026. Status matters for sequencing: two of these regimes are live and one has a future application date, so the controls they drive have different delivery deadlines.

Instrument	Citation	Status	Dates that govern delivery
Artificial Intelligence Act	Regulation (EU) 2024/1689	Phasing in	Entered into force 1 August 2024. Prohibitions and AI literacy applied 2 February 2025. General-purpose AI obligations applied 2 August 2025. Transparency obligations under Article 50 applied 2 August 2026.
Amendment to the AI Act (“Digital Omnibus on AI”)	Regulation (EU) 2026/1744	In force	In force 27 July 2026. Deferred the Annex III high-risk obligations from 2 August 2026 to 2 December 2027. Annex I embedded high-risk systems follow on 2 August 2028.
FCA Consumer Duty	Principle 12 and FCA Handbook PRIN 2A	In force	Open products and services from 31 July 2023; closed products and services from 31 July 2024. No phasing remains.
Consumer Duty finalised guidance	FG22/5; policy statement PS22/9	Operative	FG22/5 remains the operative non-Handbook guidance and has not been reissued.

Instrument	Citation	Status	Dates that govern delivery
Consumer Duty Handbook clarifications	CP25/37, finalised by Handbook Notice 142	In force	Instrument in force 26 June 2026, amending PRIN 2A.1 to 2A.9. Parts of Annex H took effect 27 July 2026; Annex N took effect 25 September 2026. The changes are clarificatory; the four outcomes and the annual board report are unchanged.

Deadline correction. Material published before August 2026 frequently states that the AI Act's high-risk obligations apply from **2 August 2026**. That date was superseded. Regulation (EU) 2026/1744 moved the Annex III high-risk application date to **2 December 2027**. This is a deferral, not a repeal, and it does not affect the prohibitions, the general-purpose AI obligations or the Article 50 transparency obligations, all of which are already applicable.

Programme plans, board papers and supplier contracts that cite August 2026 as the high-risk go-live should be corrected.

3. Scope boundary: which portfolios the high-risk regime reaches

This is the most frequently misapplied point in the Group's AI Act analysis, and it changes which systems carry which controls.

Annex III, point 5(c) classifies as high-risk those AI systems intended to be used for risk assessment and pricing in relation to natural persons in the case of **life and health insurance**. It names those two lines. Motor, home and other general property and casualty pricing are not caught by that limb, and would fall in scope only if some other Annex III limb applied to them. Regulation (EU) 2026/1744 did not alter the Annex III categories.

The practical consequence for delivery:

Portfolio	AI Act high-risk (Annex III 5(c))	Consumer Duty (PRIN 2A)	Controls that apply
Life	In scope from 2 December 2027	In scope now	AIA-01 to AIA-11 and CD-01 to CD-12
Health	In scope from 2 December 2027	In scope now	AIA-01 to AIA-11 and CD-01 to CD-12
Motor	Not in scope via Annex III 5(c)	In scope now	CD-01 to CD-12 only

The Group has nonetheless chosen to apply the logging, human-oversight and explanation controls (AIA-01 to AIA-05, AIA-08, AIA-09) to motor pricing as an internal standard, on the basis that they are proportionate and that the same platform serves all three portfolios. Where a control is applied by internal choice rather than by legal obligation, this document says so, because the distinction affects how a failure is escalated.

Escalated duty for insurance deployers. Insurance is one of only two private-sector Annex III limbs whose deployers must carry out a **fundamental rights impact assessment** under Article 27 before putting the system into use. The only Annex III exclusion from that duty is point 2. Some secondary summaries render points 5(b) and 5(c) as exempt; that reading is the opposite of the article's text, which names those points as in scope.

4. Control requirements — Part A: EU AI Act

These controls apply to the life and health pricing and underwriting systems from 2 December 2027, and are applied to motor by internal standard where indicated. Each is written so that a test can pass or fail it without a judgement call.

AIA-01 Automatic event logging over the system lifetime

AI Act Article 12

The pricing and underwriting system must automatically record events throughout its lifetime. For each use of the system, the record must capture at minimum the start and end of the period of use, and the record must be capable of identifying that use uniquely.

ACCEPTANCE CRITERIA

For any quotation or underwriting decision produced by the system, a log record exists carrying a unique run identifier, a start timestamp and an end timestamp. Producing a decision without a corresponding log record is a failure. The log write must not be optional, configurable off, or dependent on the caller.

AIA-02 Log retention of at least six months

AI Act Article 26(6)

Logs generated by the high-risk system and under the deployer's control must be retained for a period appropriate to the intended purpose, and in any event for at least six months unless a different retention period is set by other applicable law.

ACCEPTANCE CRITERIA

A log record created 180 days ago is retrievable in full through the supported interface. A record created at the retention boundary is not silently truncated, summarised or rolled up. Retrieval returns the same content as when written, and any attempt to alter a retained record is rejected and itself recorded.

AIA-03 Human override of an automated outcome

AI Act Article 14(4)(d)

A named individual assigned to oversight must be able to decide not to use the system's output, or to disregard, override or reverse it, in any given case. The override must be attributable to that individual and recorded.

ACCEPTANCE CRITERIA

An authorised oversight user can change an automated decline to an accept, and an automated price to a different price, on a live case. The resulting record carries the identity of the person, the original output, the substituted output, the time and a reason. An unauthorised user attempting the same action is refused. The override path is reachable in the working user interface, not only through a support tool.

AIA-04 Safe interruption

AI Act Article 14(4)(e)

The oversight user must be able to intervene in the operation of the system or interrupt it through a stop control or a comparable procedure that allows the system to come to a halt in a safe state.

ACCEPTANCE CRITERIA

Invoking the stop control while quotations are in flight halts new scoring, leaves no quotation in a partially priced state, and leaves every in-flight case either completed or explicitly marked as interrupted. No quotation is presented to a customer carrying a price derived from an interrupted run.

AIA-05 Capability, limitation and automation-bias information

AI Act Article 14(4)(a) and (b)

The oversight user must be enabled to understand properly the relevant capacities and limitations of the system and to remain aware of the possible tendency to automatically rely on or over-rely on its output.

ACCEPTANCE CRITERIA

Before an oversight user can accept or confirm an automated outcome, the interface presents the system's stated capabilities, its stated limitations and an automation-bias caution, sourced from the current system version record. The text changes when the deployed model version changes. Acceptance is not possible on a screen where that information has failed to load.

AIA-06 Bias detection and correction over training and test data

AI Act Article 10(2)(f) and (g)

Data governance practices must include examination in view of possible biases likely to affect health and safety of persons, have a negative impact on fundamental rights or lead to prohibited discrimination, and appropriate measures to detect, prevent and mitigate those biases.

ACCEPTANCE CRITERIA

A bias evaluation runs as part of every model promotion, measuring outcome disparity across the defined protected-characteristic proxy set. Where disparity exceeds the documented threshold, promotion is blocked and an alert record is created naming the affected group, the measured disparity and the threshold. A promotion cannot complete while a blocking alert is open.

AIA-07 Data quality gate on training, validation and test sets

AI Act Article 10(3)

Training, validation and testing data sets must be relevant, sufficiently representative, and to the best extent possible free of errors and complete in view of the intended purpose.

ACCEPTANCE CRITERIA

A data set failing the documented completeness or error-rate check cannot be used to promote a model to production. The check result is stored against the model version and is retrievable for any model that has ever been in production. A model promoted on a failing data set is a defect regardless of its measured performance.

AIA-08 Notification that a high-risk system is in use

AI Act Article 26(11)

Deployers who are natural or legal persons making decisions or assisting in making decisions related to natural persons must inform those persons that they are subject to the use of a high-risk AI system.

ACCEPTANCE CRITERIA

The quote and underwriting journey presents the notification at or before the point at which the decision is communicated, in the same channel as the decision. The notification is present on the web journey, the telephone script record and the written decision document. A decision issued without the notification present is a failure.

AIA-09 Explanation of an adverse decision

AI Act Article 86

A person subject to a decision taken on the basis of the output of a high-risk system listed in Annex III, which produces legal effects or similarly significantly affects them adversely, has the right to obtain from the deployer clear and meaningful explanations of the role of the AI system in the decision procedure and the main elements of the decision taken.

ACCEPTANCE CRITERIA

A declined or loaded applicant can request an explanation through a documented route and receives a response that names the role the system played and the main elements that drove the outcome. The response is generated from the stored decision record for that specific case, not from a generic template. Requesting an explanation for a case that no longer has a retained decision record returns an explicit statement to that effect rather than a fabricated explanation.

AIA-10 Input data relevance

AI Act Article 26(4)

To the extent the deployer exercises control over the input data, it must ensure that the input data is relevant and sufficiently representative in view of the intended purpose of the high-risk system.

ACCEPTANCE CRITERIA

Input falling outside the documented intended-purpose envelope (for example, an applicant profile outside the model's stated population) is rejected or flagged for oversight rather than scored silently. The flag is visible to the oversight user and is recorded against the case.

AIA-11 Fundamental rights impact assessment

AI Act Article 27(1)

Deployers of high-risk systems referred to in Annex III points 5(b) and 5(c) must perform an assessment of the impact on fundamental rights that use of the system may produce, before putting it into use.

ACCEPTANCE CRITERIA

A completed assessment record exists and is version-linked to the deployed model. Deploying a model version with no linked assessment is blocked by the release pipeline. Where the deployment changes in a way the assessment did not cover, the link is invalidated and the block re-engages.

5. Control requirements — Part B: FCA Consumer Duty

These controls apply now, across all three portfolios, including motor. They are organised by the four outcomes: products and services, price and value, consumer understanding, and consumer support, together with the governance and monitoring obligations.

Price and value

CD-01 No sale without a current fair value assessment

PRIN 2A.4.2R

A product must not be distributed where the fair value assessment is absent, has expired, or has concluded that the product does not provide fair value.

ACCEPTANCE CRITERIA

Attempting to quote or bind a product whose assessment record is missing, past its review date, or marked as failed is refused, and the refusal reason is recorded. The block operates in every distribution channel, including renewal and aggregator-sourced journeys, not only the direct web journey.

CD-02 Content of the value assessment

PRIN 2A.4.8R

The assessment must record the nature of the product including its benefits and quality, any limitations, the expected total price to be paid by the customer, and the characteristics of the target market, including any characteristics of vulnerability.

ACCEPTANCE CRITERIA

Every stored assessment record carries a non-empty value for each mandated field. An assessment saved with any mandated field empty is rejected at save, not flagged later. The expected total price recorded is reconcilable to the pricing configuration in force at the assessment date.

CD-03 Distribution arrangements consistent with fair value

PRIN 2A.4.16R

Distribution arrangements, including the remuneration paid to distributors, must be consistent with the product providing fair value.

ACCEPTANCE CRITERIA

A distribution arrangement whose commission or fee structure exceeds the threshold recorded on the fair value assessment cannot be activated. Raising commission on a live arrangement past that threshold triggers a block and a review task, rather than taking effect and being reported afterwards.

CD-04 Scheduled reassessment

PRIN 2A.4.24R

Fair value assessments must be reviewed at appropriate intervals and where a relevant change occurs.

ACCEPTANCE CRITERIA

An assessment passing its scheduled review date without a completed review raises an exception and engages the CD-01 block. A material change to price, cover or target market invalidates the current assessment and engages the same block, irrespective of the scheduled date.

Consumer understanding

CD-05 Communications tested before issue and monitored after

PRIN 2A.5.10R

Communications must be tested where appropriate before they are issued, and their impact must be monitored and adapted where they are not supporting good outcomes.

ACCEPTANCE CRITERIA

A customer communication template cannot be published without a linked, completed test record. Once live, a comprehension or outcome metric is captured against it, and a metric breaching the documented threshold raises a review task naming the template.

CD-06 Adaptation for characteristics of vulnerability

PRIN 2A.5.8R

Communications must take into account the characteristics of the customers intended to receive them, including any characteristics of vulnerability.

ACCEPTANCE CRITERIA

A customer record carrying a vulnerability characteristic receives the adapted journey and the adapted communication variant. Removing the characteristic returns the customer to the standard variant. The adaptation applies across channels, and a channel that cannot deliver the adapted variant routes to one that can rather than falling back to the standard variant.

Consumer support

CD-07 No unreasonable barriers to exit or complaint

PRIN 2A.6.2R(4)

Customers must not face unreasonable barriers, including unreasonable additional costs or delay, when they wish to switch product, switch provider, submit a claim, make a complaint or cancel a contract.

ACCEPTANCE CRITERIA

For each of cancel, switch and complain, the journey is measured against the equivalent buy journey on three axes: number of steps, elapsed time to completion, and channels available. Any exit journey requiring more steps, taking materially longer, or offering fewer channels than the buy journey is a failure. A buy journey completable online whose cancellation requires a telephone call is a failure by this measure.

CD-08 Support meets the needs of customers with vulnerability characteristics

PRIN 2A.6.2R(1) and PRIN 2A.6.4

Customer support must meet the needs of retail customers, including those with characteristics of vulnerability, and existing customers must not be given lower priority than prospective customers.

ACCEPTANCE CRITERIA

Queueing, routing and service-level configuration do not place existing customers behind prospective customers for comparable enquiries. A flagged vulnerable customer reaches a supported route without having to disclose the characteristic again at each step.

Governance and monitoring**CD-09 Regular outcomes monitoring**

PRIN 2A.9.8R

The firm must monitor, and regularly review, the outcomes its retail customers are experiencing, across products, communications and support.

ACCEPTANCE CRITERIA

A monitoring run completes on schedule for every in-scope product, and a product with no completed run inside the defined period raises an exception naming the product and the gap.

CD-10 Monitoring detects the defined failure conditions

PRIN 2A.9.9R

Monitoring must be capable of identifying whether a product is being sold to customers outside the target market, is not providing fair value, is not being adequately explained, or is not supported adequately.

ACCEPTANCE CRITERIA

Each of the four conditions is individually detectable and individually reportable. A seeded case for each condition is surfaced by the next monitoring run and is attributed to the correct condition. A run that detects only an aggregate score is a failure.

CD-11 Remediation record on an identified poor outcome

PRIN 2A.9.12R

Where monitoring identifies that customers have suffered harm, the firm must take appropriate action to remedy the situation.

ACCEPTANCE CRITERIA

A detected poor outcome creates a remediation record with an owner, an action and a due date. The record cannot be closed while the underlying condition remains detected by the monitoring run. Closing it while open cases remain is refused.

CD-12 Annual board report on retail customer outcomes

PRIN 2A.8.4R

The governing body must review and approve an assessment of whether the firm is delivering good outcomes for its retail customers, at least annually.

ACCEPTANCE CRITERIA

A report record exists for the current period, carries the four outcome assessments, and records the date of governing-body approval. A period with no approved report raises an exception. The report draws its figures from the monitoring runs under CD-09, and a discrepancy between report and source is detectable.

6. Evidence expectations

Each control above is expected to produce evidence that survives the case that generated it. The delivery standard is that a control which cannot be evidenced after the fact has not been implemented, however correctly it behaves in the moment.

Evidence class	Controls	Minimum expectation
Decision record	AIA-01, AIA-02, AIA-09, AIA-10	One immutable record per decision, retrievable by case reference for the full retention period, carrying inputs, model version, output and any flags raised.
Human action record	AIA-03, AIA-04, AIA-05	Attribution to a named individual, the before and after state, the time, and the stated reason.
Model governance record	AIA-06, AIA-07, AIA-11	Held against the model version, not the environment. Retrievable for any version that has been in production, including versions since replaced.
Product record	CD-01 to CD-04	Assessment with all mandated fields, review history, and the blocking state it currently drives.
Communication record	CD-05, CD-06	Template version, test record, variant served, and the customer characteristics that selected the variant.
Journey measurement	CD-07, CD-08	Step count, elapsed time and channel availability, captured on the same basis for the buy journey and each exit journey.
Monitoring record	CD-09 to CD-12	Per-run, per-product, per-condition results, with lineage from the board report back to the run that produced each figure.

7. Open items

These items were not settled at the compilation date. They are listed so that a reader does not mistake an unresolved question for a stated position.

Item	Question	Disposition
OI-01	Whether the amended Article 113 text of the AI Act, as published in the Official Journal, expresses the deferred dates in the terms secondary commentary reports.	Dates in section 2 are consistent across three independent sources. Read the Official Journal text before any external publication.
OI-02	Whether Handbook Notice 142 altered the substance of any PRIN 2A rule cited in Part B, as distinct from clarifying it.	Described as clarificatory. Annex N took effect on the compilation date itself. Re-read PRIN 2A before relying on a specific rule reference.
OI-03	Whether the Group's motor portfolio could be drawn into Annex III through a limb other than 5(c).	No such limb identified. Internal standard applies the logging and oversight controls regardless.
OI-04	Ownership of sign-off for regulatory references presented to customers or shown in marketing material.	Unassigned. Escalate before any external use.

8. Revision history

Version	Date	Change
1.0	14 March 2025	First issue. Consumer Duty controls only.
2.0	2 September 2025	AI Act controls added on the then-current 2 August 2026 high-risk date.
2.4	11 February 2026	Scope boundary section added after review found motor pricing incorrectly marked as high-risk.
3.0	3 August 2026	High-risk application date corrected to 2 December 2027 following Regulation (EU) 2026/1744. Delivery sequencing revised.
3.1	25 September 2026	Consumer Duty clarification instrument noted. Article 27 assessment duty corrected after an erroneous secondary reading was found in the previous draft. Evidence expectations table added.

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